At lunch, we just talked about businesses and stocks the whole time.

Akre was cheerful and relaxed; he never checked his phone. He was full of wise words on investing, and funny too. He talked about Phelps and about 100-baggers. He talked about books read and lessons learned. This is the way great investors talk.

Believe me, I've met a bunch of them, from Ackman to Wanger. (Bill Ackman of Pershing Square fame you probably know. Ralph Wanger you may not. He ran the top-performing Acorn Fund for a lot of years and wrote a fine book about investing titled A Zebra in Lion Country.)

You might find it instructive what we didn't talk about:

- We didn't talk about the Fed
- We didn't talk about the overall market
- We didn't talk about the dollar

Not that those things are unimportant. They are important. But they are unknowable and unpredictable things. And great investors don't spend a lot of time on them. They focus on trying to find those great opportunities — like Berkshire Hathaway and American Tower were for Akre. These stocks just overpowered all those big-picture concerns.

The Essential Principles of Finding 100-Baggers

The most important principle is the one identified above. It's so important it's worth repeating again: you need a business with a high return on capital with the ability to reinvest and earn that high return on capital for years and years.

Everything else is ancillary to this principle. Below are summaries of these other principles.

#1 You Have to Look for Them

Obvious? Maybe. But critically important.

It's why Phelps starts his book with a little parable about the four men granted a wish. The first guy asks for one donkey, which he gets. And the second man asks for 10 donkeys — which he gets. The idea is